Classical Trade Theories

Mercantilism (pre - 16th century)

- Takes an us-versus - them view of trade
- Other country's gain is our country's loss

Free Trade theories

- Absolute Advantage (Adam Smith, 1776)
- Comparative Advantage (David Ricardo, 1817)
- Specialization of production and free flow of goods benefit all trading partner's economies

Free Trade refined

- Factor - proporations (Heckscher - Ohlin, 1919)
- International Product life cycle (Ray Vernon, 1966)

7.5.2. Adam Smith's Theory of Absolute Cost Advantage

Adam Smith argued that all nations can be benefitted when there is free trade and specialisation in terms of their absolute cost advantage.

The Theory

According to Adam Smith, the basis of international trade was absolute cost advantage. Trade between two countries would be mutually beneficial when one country produces a commodity at an absolute cost advantage over the other country which in turn produces another commodity at an absolute cost advantage over the first country.

Assumptions

1. There are two countries and two commodities (2 x 2 model).
2. Labour is the only factor of production.
3. Labour units are homogeneous.
4. The cost or price of a commodity is measured by the amount of labour required to produce it.
5. There is no transport cost.

Illustration

Absolute cost advantage theory can be illustrated with the help of the following example.

Absolute Cost Advantage

Country	India	China
	(Output per unit of labour)	
Wheat	20	8
Cloth	6	14

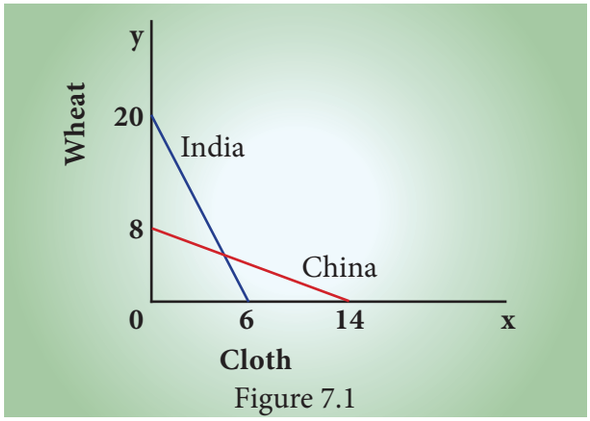

Figure 7.1

From the illustration, it is clear that India has an absolute advantage in the production of wheat over China and China has an absolute advantage in the production of cloth over India. Therefore, India should specialize in the production of wheat and import cloth from China. China should specialize in the production

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